The Future of Capitalism

Lecture 3: Economic Nationalism – the backlash to globalization

Mon 16 Feb 2026, 15.30

HG 11A-33

VU VRIJE UNIVERSITEIT AMSTERDAM

Arjen Siegmann

Some housekeeping

- Teaching notes / literature: exam material
- Slides: exam material
- Mock exam: coming your way, for weeks 1-3

We want our country back
Vote to Leave
UKIP
EU Referendum, Thursday June 23rd
Vote Leave
Vote Leave
Eyevine

Economic nationalism

- Previously in this course, we saw that capitalism

1. … can be oppressive due to existing superstructures (Marx)
2. … enables value creation, growth in living standards (Finance view)

- Logic: keep value creation going, but have attention to justice

- A new angle today: Nationalism / status-seeking as a motivation for economic policies and the future of capitalism

Program for today

1. Anti-globalism
2. Benefits of trade – applied to the process of globalization
3. Crisis of meaning
4. Status anxiety (Loss aversion)
5. Application to tariffs and protectionism
6. René Girard: mimetic desire meets behavioral finance
7. Discussion of open questions
8. Assignment => cold-calling a corporation

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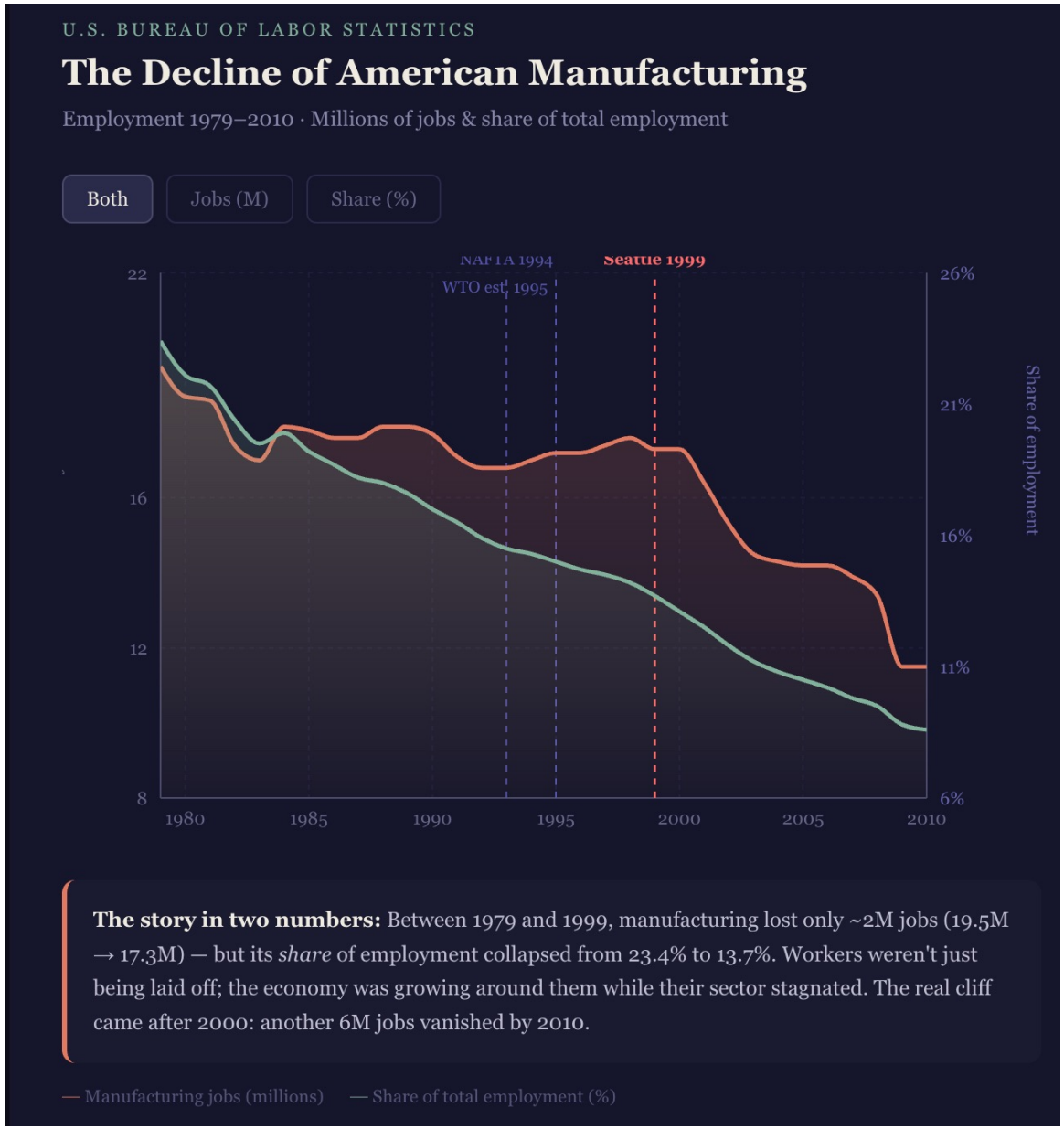
November 30, 1999

Seattle police use gas to push back World Trade Organization protesters in downtown Seattle on November 30, 1999. The protests delayed the opening of the WTO conference [AP/Eric Draper] [Daylife]

"The battle of Seattle"
(at the eve of the WTO meeting, WTO = world trade organization)

Run-up:

- Loss of manufacturing jobs
- environmental regulations (supposedly) struck down by WTO as violations of free trade



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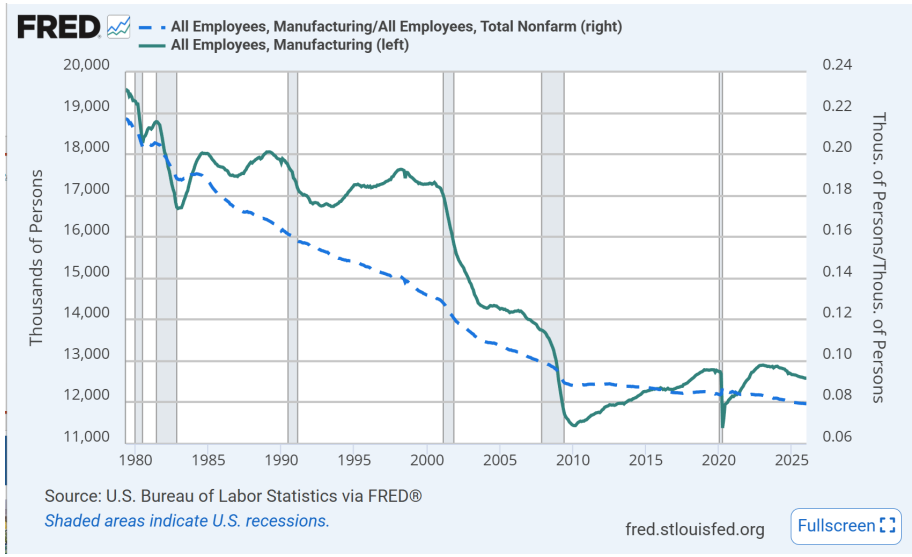


Source: FRED

https://fred.stlouisfed.org/graph/?g=1RRUr

Link between WTO and the environment in the 1990s

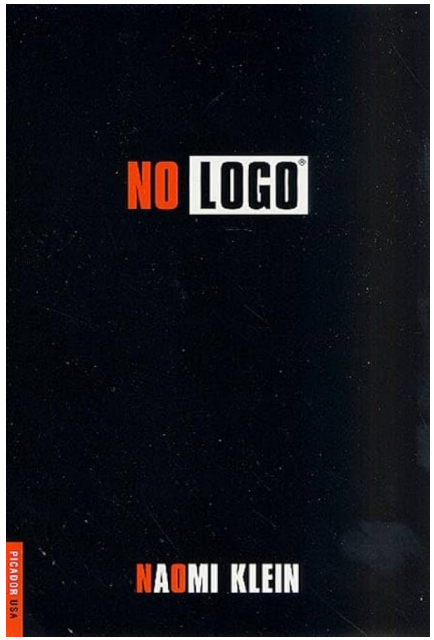
- **Mexico vs US over tuna (1991)**: US banned Mexican tuna over dolphin-killing nets. Struck down by WTO.
- **Venezuela & Brazil vs US over gasoline (1996)**: US required clean air rules for production of oil abroad. Struck down.
- **Asian countries over (1998)**: US ban on shrimp imports from countries that did not use “turtle-excluder devices”. Struck down.

  - Note: the US lost not because they protected the environment, but because they discriminated between trading partners while doing so. (US loses cases in a system it has set up itself…)

Even the pope (2020): nation states are losing out

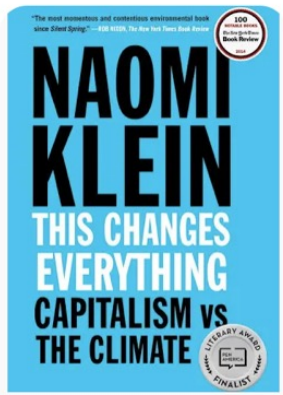
12. “Opening up to the world” is an expression that has been co-opted by the economic and financial sector and is now used exclusively of openness to foreign interests or to the freedom of economic powers to invest without obstacles or complications in all countries. Local conflicts and disregard for the common good are exploited by the global economy in order to impose a single cultural model. This culture unifies the world, but divides persons and nations, for “as society becomes ever more globalized, it makes us neighbours, but does not make us brothers”. [9] We are more alone than ever in an increasingly massified world that promotes individual interests and weakens the communitarian dimension of life. Indeed, there are markets where individuals become mere consumers or bystanders. As a rule, the advance of this kind of globalism strengthens the identity of the more powerful, who can protect themselves, but it tends to diminish the identity of the weaker and poorer regions, making them more vulnerable and dependent. In this way, political life becomes increasingly fragile in the face of transnational economic powers that operate with the principle of “divide and conquer”.

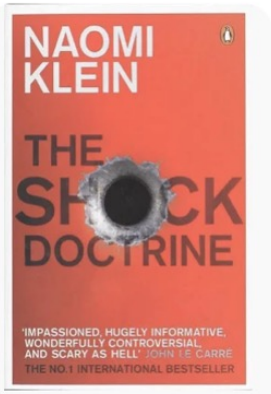
https://www.vatican.va/content/francesco/en/encyclicals/documents/papa-francesco_20201003_enciclica-fratelli-tutti.html

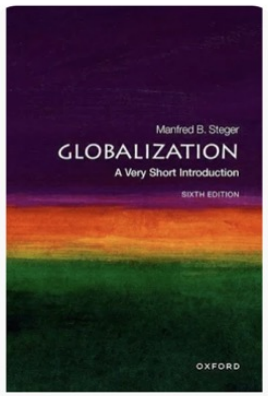


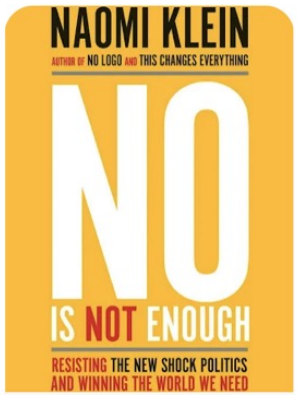
1999

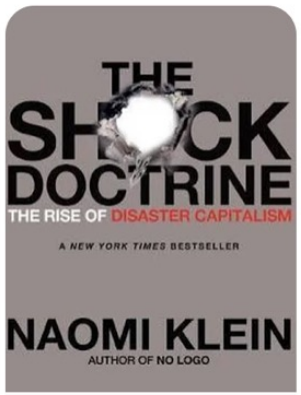
Klein's critique: globalization is corporate-led. Suspicious of the profit motive.

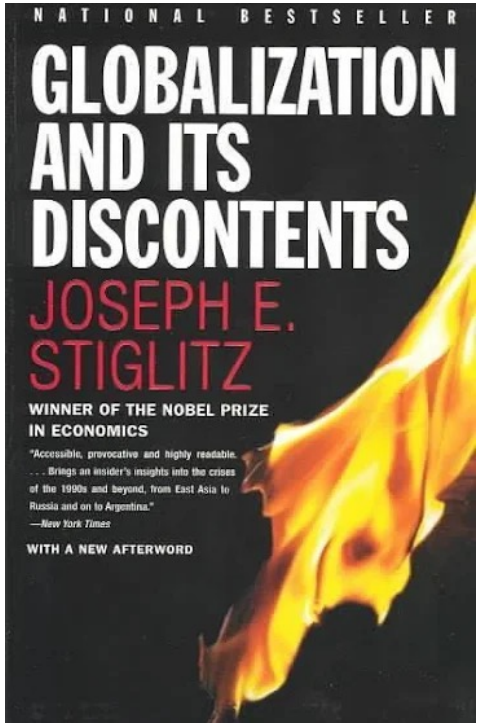




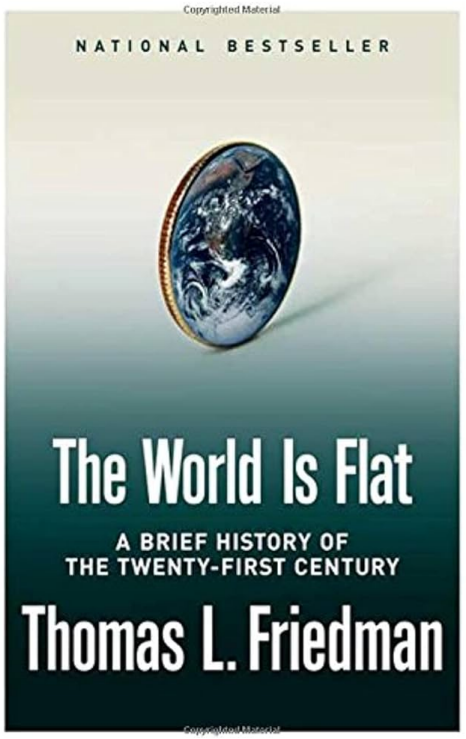







NATIONAL BESTSELLER
GLOBALIZATION AND ITS DISCONTENTS
JOSEPH E. STIGLITZ
WINNER OF THE NOBEL PRIZE IN ECONOMICS
"Accessible, provocative and highly readable. . . . Brings an insider's insights into the crises of the 1990s and beyond, from East Asia to Russia and on to Argentina."
—New York Times
WITH A NEW AFTERWORD

2002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NATIONAL BESTSELLER
The World Is Flat
A BRIEF HISTORY OF THE TWENTY-FIRST CENTURY
Thomas L. Friedman

2005

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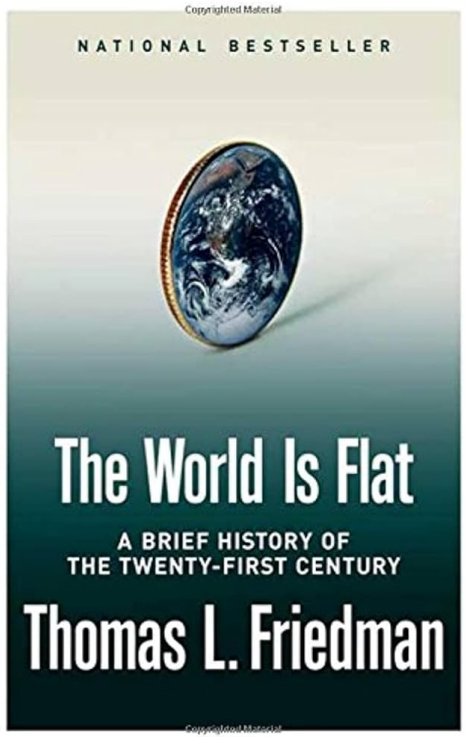
Reminder: why was trade beneficial again? Comparative advantage

- A great deal of the rise in living standards comes from … trade
  - Or, as we currently know it in it specific form: globalization
- That trade is valuable is an insight from the British economist David Ricardo. It's quite a simple but powerful insight called "comparative advantage"

- For given skills and capital, etc:
  - Country A can produce 100 wine or 50 cloth
  - Country B produce 50 wine or 10 cloth
  - From the outset, we would say: country A is better at *everything*. (Let it be national. Autarky! And produce 50 w + 25 c. B produces 25 w + 5 c. Total world production is 75 wine + 30 cloth
  - But wait: if they trade, they both gain. How??
    - A produces 40% wine and 60% cloth: 40 and 30. B produces wine: 50. Total production: **90 wine and 30 cloth.**

/2 We trade in other things than wine and cloth nowadays: globalization

- Think about the trading patterns that led to "globalization"
  - Shoes: China (shift from Portugal…)
  - iPhone manufacturing: China
  - IT-services: India.
  - Clothes: Bangladesh (shift from Europe)
  - Ships: South-Korea
  - Cars: Japan (1980s)
  - etc.
- The specialization leads to a higher world production than if every country was an autarky
- <u>Audience question</u>: what is needed for all this trade to occur?



Growth is good

- Remember the message from Hans Rosling:
  - gdp-per-capita goes hand in hand with health/life expectancy.

Basically, economic growth *is* enough, and *only* economic growth is enough for the basics

Lant Pritchett
With
Addison Lewis

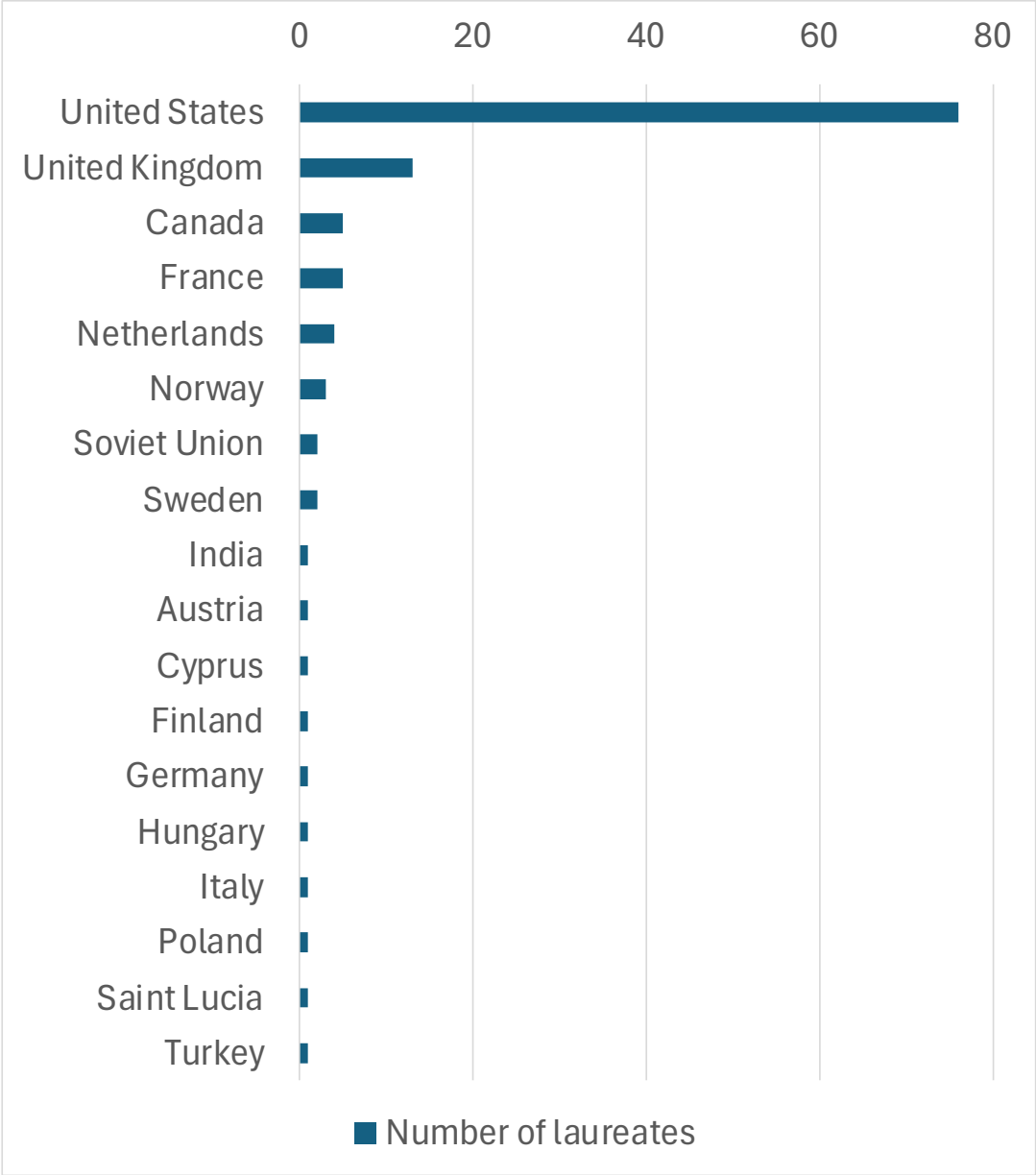
March 18, 2022

Abstract. We show that *any* cross-national measure of human material wellbeing that is (i) *basics* (not luxuries), (ii) *general* (uses indicators from multiple domains), and (iii) *plausible* (uses defensible choices for weights) will have a statistical relationship with country GDP per capita with four features. First, the relationship will be *strong*, with *nearly all* cross-national variation in basics associated with variation in GDPPC. Second, the relationship with be *non-linear*, with a stronger elasticity of basics to at lower than higher levels of GDPPC. Third, growth is empirically sufficient, *no* country has high levels of GDPPC and low levels of basics. Fourth, growth is empirically necessary: *no* country has high levels of the basics at (very) low levels of GDPPC. These findings significantly extends the existing literature as, while there are large literatures showing a strong connection of GDPPC to money-metric measures of wellbeing (e.g. headcount income/consumption poverty (Pritchett 2020) or inequality adjusted incomes (Dollar, Kleineberg, and Kraay 2015)), or, in individual literatures, to direct physical measures of wellbeing like health, nutrition, education, or indices like multidimensional poverty, our argument is that *all* general, plausible, measures of the basics of human material wellbeing will have a strong, non-linear, empirically sufficient and empirically necessary relationship to GDPPC.

https://lantpritchett.org/wp-content/uploads/2022/03/Basics-legatum-paper_first_final.pdf

And the Economics Nobel goes to…

- Given the US-UK led push for globalization and trade, it is remarkable that new forms of protectionism are coming from there. (Brexit, US-tariffs)



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The clouds were gathering, already in 1989

- In 1989, Francis Fukuyama writes an essay “The End of History”. Nowadays, seen as arrogant, overbearing or naive. Book came out in 1992.
  - Berlin wall, end of USSR: all in the period1989 (nov 9)/1991 (dec 26)
  - Quote: “The triumph of the West, of the Western idea, is evident”
  - Interpreted as “We figured it al out. Free markets, trade + democracy works”. Don’t look any further. America wins.
- But … it’s much better than that. (Fukuyama was not that naïve). He was wise, and points to *underlying ideas that drive historical change*.

- Reading tip: Fukuyama’s *essay* (15 pages) from 1989. https://pages.ucsd.edu/~bslantchev/courses/pdf/Fukuyama%20-%20End%20of%20History.pdf

Quote 1 (Fukuyama)

The materialist bias of modern thought is characteristic not only of people on the Left who may be sympathetic to Marxism, but of many passionate anti-Marxists as well. Indeed, there is on the Right what one might label the Wall Street Journal school of deterministic materialism that discounts the importance of ideology and culture and sees man as essentially a rational, profit-maximizing individual. It is precisely this kind of individual and his pursuit of material incentives that is posited as the basis for economic life as such in economic textbooks.[6]

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Quote 2 (Fukuyama)

Surely free markets and stable political systems are a necessary precondition to capitalist economic growth. But just as surely the cultural heritage of those Far Eastern societies, the ethic of work and saving and family, a religious heritage that does not, like Islam, place restrictions on certain forms of economic behavior, and other deeply ingrained moral qualities, are equally important in explaining their economic performance.[7] And yet the intellectual weight of materialism is such that not a single respectable contemporary theory of economic development addresses consciousness and culture seriously as the matrix within which economic behavior is formed.

FAILURE to understand that the roots of economic behavior lie in the realm of consciousness and culture leads to the common mistake of attributing material causes to phenomena that are essentially ideal in nature. For example, it is commonplace in the West to interpret the reform movements first in China and

7. One need look no further than the recent performance of Vietnamese immigrants in the U.S. school system when compared to their black of Hispanic classmates to realize that culture and consciousness are absolutely crucial to explain not only economic behavior but virtually every other important aspect of life as well. (back to text)

4/ Dostoevsky 1864

- 2x2 = 4
- Why can it never be five?!
- Notes from the underground
- “The inexonerable system of Marx” =>
  - The inexonerable system of capitalism?

With the ant-heap the respectable race of ants began and with the ant- heap they will probably end, which does the greatest credit to their perseverance and good sense. But man is a frivolous and incongruous creature, and perhaps, like a chess player, loves the process of the game, not the end of it. And who knows (there is no saying with certainty), perhaps the only goal on earth to which mankind is striving lies in this incessant process of attaining, in other words, in life itself, and not in the thing to be attained, which must always be expressed as a formula, as positive as twice two makes four, and such positiveness is not life, gentlemen, but is the beginning of death. Anyway, man has always been afraid of this mathematical certainty, and I am afraid of it now. Granted that man does nothing but seek that mathematical certainty, he traverses oceans, sacrifices his life in the quest, but to succeed, really to find it, dreads, I assure you. He feels that when he has found it there will be nothing for him to look for. When workmen have finished their work

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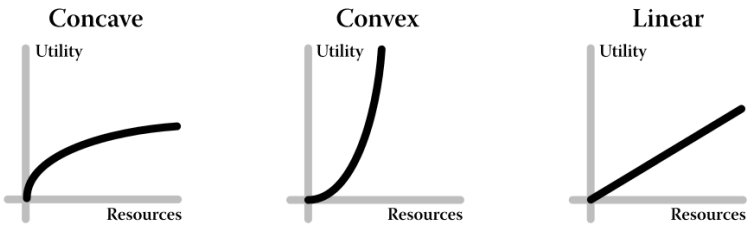
Economists use utility functions to model preferences

- Most accepted economic thinking on trade and welfare (and Finance!) assumes that there is a preference ordering.
  - Wealth, status, consumption, risk (reverse ordering).
  - To model choice and welfare, we resort to using a function U(.) that maps a level of, say, consumption C, to a "utility" U. It should be increasing in C but with declining marginal utility. U'>0, U''<0.
  - Most used: a concave function (why?)
- It does not mean that people have a utility function, it's just a tool to model preferences.
  - It does appear in economic philosophy as "utilitarian". (social welfare fu.)



Experiment

Frans de Waal and the reward system in chimpansees

- https://www.youtube.com/watch?v=meiU6TxysCg

Kahneman & Tversky, as psychologists, took issue with reigning economic assumptions

- 1979 paper: how do people make choices under risk when we confront them with gains & losses?
  - Old approach was: willingness to pay for a bet $100 w.p. 50%?
  - New: what if you could lose $100?
- Finding: people are **loss averse**. Outcomes under risk are coded different depending on whether it is a gain or a loss. A loss turns out to hurt twice as much as the benefit of a comparable gain.

Algebraically, the loss averse value function looks like:

$$v(x) = \begin{cases} x & \text{if } x \geq 0, \\ -\lambda \cdot x & \text{if } x < 0, \end{cases} \tag{1}$$

where x is measured relative to a reference point and $\lambda > 1$. Typical values found for λ are 2.25 (by Kahneman & Tversky in 1997) but usually it ranges between 2 and 5.

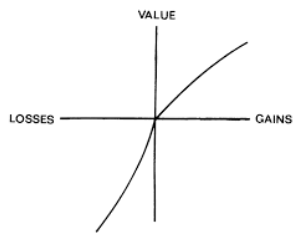


FIGURE 3.—A hypothetical value function.

- Loss aversion can also be found under the names
  - Prospect theory
  - Endowment effect
  - Disposition effect
  - …

Kahneman, D., Knetsch, J. L., & Thaler, R. H. (1991). Anomalies: The endowment effect, loss aversion, and status quo bias. *Journal of Economic perspectives*, *5*(1), 193-206.

Experimental Tests of the Endowment Effect and the Coase Theorem

Daniel Kahneman

University of California, Berkeley

Jack L. Knetsch

Simon Fraser University

Richard H. Thaler

Cornell University

Contrary to theoretical expectations, measures of willingness to accept greatly exceed measures of willingness to pay. This paper reports several experiments that demonstrate that this "endowment effect" persists even in market settings with opportunities to learn. Consumption objects (e.g., coffee mugs) are randomly given to half the subjects in an experiment. Markets for the mugs are then conducted. The Coase theorem predicts that about half the mugs will trade, but observed volume is always significantly less. When markets for "induced-value" tokens are conducted, the predicted volume is observed, suggesting that transactions costs cannot explain the undertrading for consumption goods.

The Easterlin paradox: happiness is immune to GDP-per-capita growth

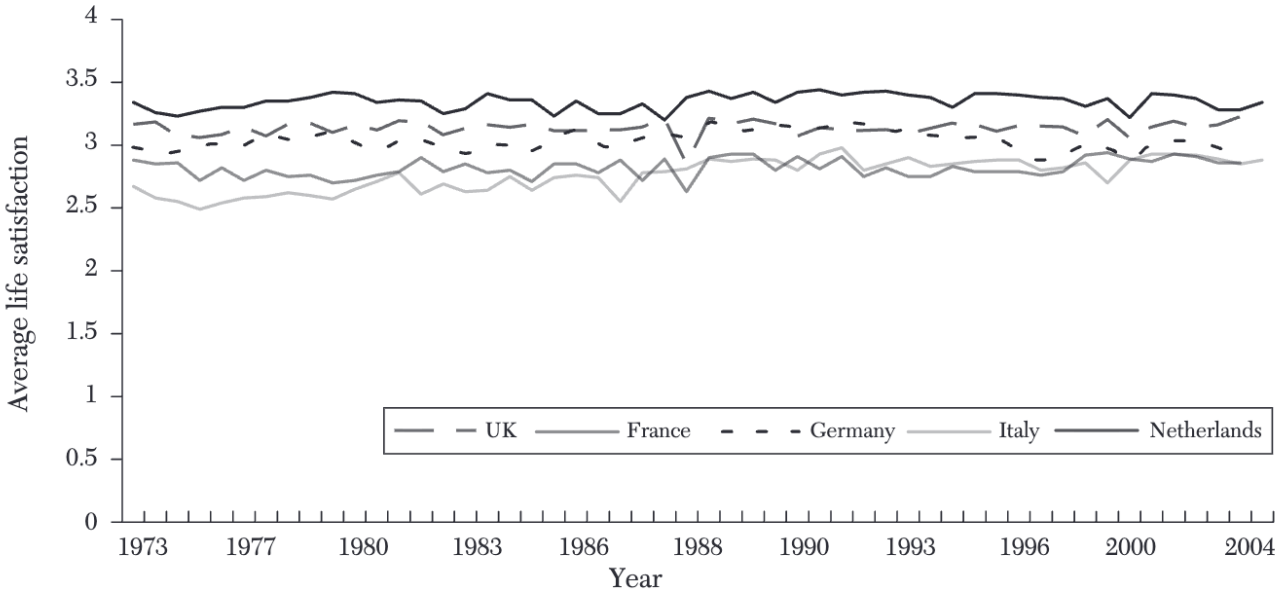


Figure 2. Life Satisfaction in Five European Countries, 1973–2004

Source: World Database of Happiness. Happiness is the average reply to the following question: *"On the whole how satisfied are you with the life you lead?"* The responses are coded as (4) Very Satisfied, (3) Fairly Satisfied, (2) Not Very Satisfied, and (1) Not at all Satisfied. Life satisfaction data are drawn from the Eurobarometer Survey.

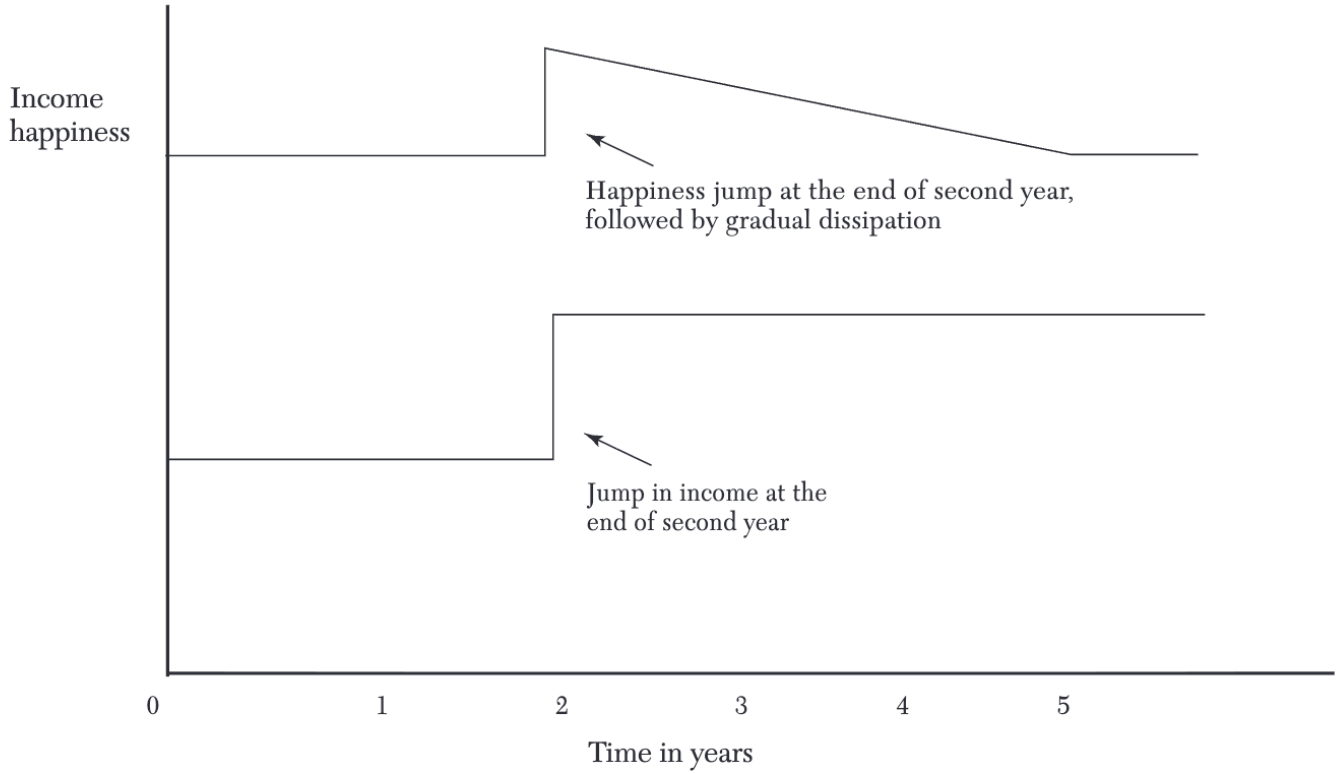


Figure 6. Change in Happiness Following an Income Shock

states of the world which differ in both the absolute and relative domains. For example, in Solnick and Hemenway (1998), individuals are asked to choose between states *A* and *B*, as follows:

A: Your current yearly income is $50,000; others earn $25,000.

B: Your current yearly income is $100,000; others earn $200,000.

It is specified that "others" refers to the average of other people in the society, and emphasised that "*prices are what they are currently and prices (the purchasing power of money) are the same in States A and B.*"

All three papers find evidence of strong positional concerns over income, in that individuals say they are willing to give up absolute income in order to gain status (choosing *A* over *B* above). Further, two of

Reference-dependence leads to many new questions in economics & finance

- Ec. Policy: suppose we have a policy that
  - ...makes half the population better off by 2%. The other half is worse off by 1%
  - ...opens up free trade that makes 1% of the people 10% worse off. But everybody else 5% better off?
- Finance:
  - Pension fund policy: what is the value function of a retiree? Of a (working-life) participant?
  - Asset managers are benchmarked
    - How are you evaluated in good times?
    - ...and in bad times?
    - (We might talk about epistemology: how do you know what you know? Information cascades & herding)
  - Home bias (the phenomenon of a tilt towards home stocks): could be a reference-dependent thing.
  - **How should we take matters of national security and strategic values into account when making capital budgeting & investment decisions?**

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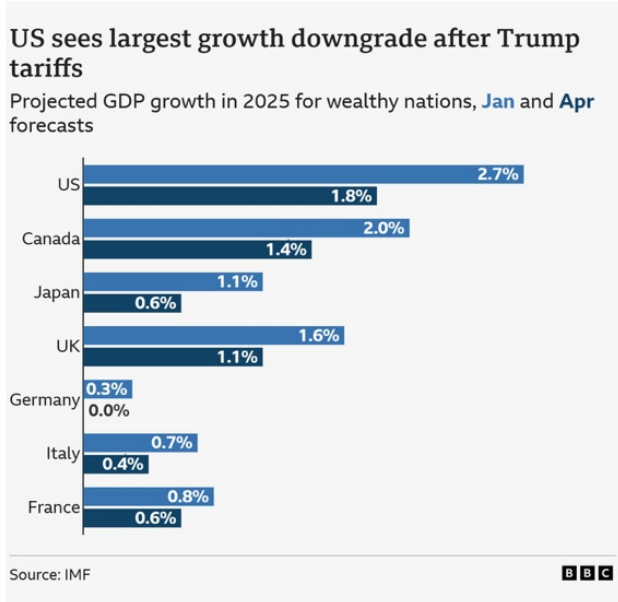
The origins of GDP are quite nationalist: how to measure war production potential

- GDP: Developed by Simon Kuznets in 1934 to measure the severity of the depression (originally GNP: Gross National Product)
  - Note: Kuznets warns against using it as a measure of well-being, already in 1934(!). He wants to *include* unpaid house work and *exclude* government spending.
- 1942-1944: used to measure potential war production of the US
  - Kuznets serves in the "Bureau of Planning and Statistics" of the War Production Board
  - They developed a rough form of Linear Programming to identify binding constraints: Where is slack? Where is a bottle neck?
- Hence, the origins of GDP lie in self-preservation and national priorities.

  - Sources
    - Diane Coyle, *GDP: A Brief but Affectionate History* (Princeton UP, 2014).
    - https://www.econlib.org/library/Enc/bios/Kuznets.html

Tariffs are hurting the home country, but that is not the point

- The US hurts itself with its own tariffs
  - https://libertystreeteconomics.newyorkfed.org/2026/02/who-is-paying-for-the-2025-u-s-tariffs/
  - IMF World economic outlook, nov 2025
- From the whole ideas of EN, this is besides the point. The right question is how the *relative status* is affected. Suppose
  - Country A: From 100 to 90
  - Country B: From 50 to 44
  - The most pain is felt by country A, but its relative size does *increase*.



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Philosophical problem: why does relative status matter so much to us?

- One of the philosophical pioneers of status-dependence is René Girard. A French philosopher who developed the idea of mimetic desire
  - Girard questions the autonomy of our desires: we might think we want something, just, because we want it. It satisfies our appetite. But actually, we are imitating others by wanting things that the people around us have.
  - Distance matters (the closer, the stronger the imitation. The further away, socially or geographically, the less I am engaged).
  - Mimetic = Greek *mimesis*. (imitation or copying)
    - Triangular desire: I, you, the object
    - Not innate: it's not born-in (but it does start as soon as I am born)
    - Creates conflict: competition for similar objects
- Examples: gold, diamonds, tokens

What overcomes detrimental status-seeking behavior?

- Gains frame: Mutual beneficial activities such as trade, sharing of technology
- Loss frame: A crisis
  - A situation that demans unity. “we’re all in this together” Such as the potential comet strike in 2032: 2024 YR_4
  - Risk-seeking behavior (away from status quo) in the loss domain.
- Joyful cooperation or competition
  - Eurovision
  - Sports => the Olympics. Pierre de Coubertin “The Olympic Games are a pilgrimage to the past and an act of faith in the future.”
  - Cross-cultural or Multinational endeavours. Airbus, ESA, the ISS.
- Levinas: Face-to-face encounter of the other. A constituting other. Friendship.
- Future of capitalism: patriotism could be an incentive to develop innovations and good things.

110
1:24
Shorttracker Van 't Wout grijpt ook olympisch goud op 1.500 meter

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6. René Girard: mimetic desire meets behavioral finance
7. Discussion of open questions
8. Assignment => cold-calling a corporation

The future of national-capitalism

- **Defense** & strategic value of industries (of course)
- **Jobs** matter, production (not just consumption)
- The **distribution** of growth matters (not just the average). Inside countries and between countries.
- Such considerations (job & distributive aspects) can make or break **public support** for pro-growth free market policies.

- See the teaching note as well (exam relevant)

Program for today

1. Anti-globalism
2. Benefits of trade – applied to the process of globalization
3. Crisis of meaning
4. Status anxiety (Loss aversion)
5. Application to tariffs and protectionism
6. René Girard: mimetic desire meets behavioral finance
7. Discussion of open questions
8. Assignment => cold-calling a corporation

Challenge for Friday

1. Try to contact an executive or decision maker in a company to ask for the National Interest:
   - “What role does the country’s interest play in your decisions?” (feel free to word it differently)
   - A real decision maker / CEO / investor (whatever the size of the company) is preferred over a low-level employee of a large company
   - See it as a challenge on how to get a useful response. Craft a good email (not too long!), try different things.

2. Submit as a note your email + response.
   - 2 points for good attempts. Failure = not trying.

- We’ll talk about this on Friday.

The Future of capitalism

Lecture 3: Economic Nationalism

Mon 16 Feb 2026, 15.30

HG 11A-33

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